



Strategy and commitments to institutional logics: Organizational heterogeneity in business models and governance

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Abstract

Theory and research on institutional pluralism and complexity provide an opportunity to re-examine a key question of strategy: the sources of organizational heterogeneity in the creation and capture of value. Concretely, we focus on the implications for value creation and capture in terms of organizations' business models and governance strategies, respectively. We posit that strategic organizational choices are shaped by available institutional logics and theorize that greater institutional pluralism leads to increased heterogeneity—rather than isomorphism—in business models and governance strategies. As the mechanism for heterogeneity, we explain how pluralism leads to differentiated organizational commitments to distinct combinations and prioritizations of institutional logics. The article further examines how institutional complexity, wherein latent contradictions between logics become salient, provides opportunities for strategic change. We theorize that framing exposed contradictions as incompatible or paradoxical implies differentiated outcomes with respect to transformations in organizations' business models and governance strategies.

Keywords

institutional change, institutional theory, organizational change, organizational fields, strategic change

Introduction

During the last decade, the institutional literature has shown that organizations operate in pluralistic environments, characterized by multiple, competing, and often contradictory institutional logics (Dunn and Jones, 2010; Greenwood et al., 2010; Lounsbury, 2007). From an earlier focus on the emergence and change in dominant logics (Rao et al., 2003; Thornton and Ocasio, 1999), scholarship has transitioned to an emphasis on the conflict, accommodation, and pluralism of logics (Kraatz and Block, 2008; Pache and Santos, 2010; Reay and Hinings, 2009). From this perspective, organizations experience and respond to institutional pluralism and complexity “differently and to

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different degrees” (Greenwood et al., 2011: 319), thereby producing organizational heterogeneity and possibilities for strategic differentiation.

While the differentiated organizational responses to institutional and environmental pluralism and complexity have been clearly noted, researched, and theorized (Battilana and Dorado, 2010; Durand and Jourdan, 2012; Greenwood et al., 2011; Kraatz and Block, 2008), the implications for theory and research in strategic management have been less developed (see Durand, 2012). Part of the limitation may be due to the distinct research questions and interests of organizational theory versus strategy research. While organizational theory and research moved away from interest in organizational effectiveness and performance (Hirsch and Levin, 1999; cf. Hirsch, 1975), heterogeneity in performance, typically framed as competitive advantage (Barney, 1991; Porter, 1985), is a - if not *the* - key dependent variable for strategy scholars.

Another hindrance to productive dialog is that much of the institutional literature views, implicitly or explicitly, complexity as a set of “demands” and “prescriptions” from external institutional environments, serving primarily as constraints to which organizations must respond (Greenwood et al., 2011; cf. Oliver, 1991). An alternative view of complexity highlights institutional “demands” and “prescriptions” not as givens subject to organizational compliance but as available and accessible strategic opportunities and resources for action (Durand et al., 2013; McPherson and Sauder, 2013; Thornton et al., 2012). From this perspective, institutional “demands” and “prescriptions” are themselves subject to strategic choice (cf. Child, 1972). Furthermore, as Durand (2012) notes, “market, competition, profits, and survival are not ‘givens’ but need to be explained as the more or less desired and/or expected consequences of prior organizational and institutional choices” (p. 298).

The aim of this theoretical article is to consider how institutional pluralism and complexity, well established in the organizational literature, are relevant to understanding a key question in strategic management: the sources of organizational heterogeneity in the creation and capture of value. In particular, a focus on institutional pluralism and complexity challenges the dominant economic theories of value creation and capture through superior market position (Porter, 1980, 1985) or resource advantages (Wernerfelt, 1984). Furthermore, it challenges the view that the objective of strategy is necessarily to maximize the capture of value for shareholders (Jensen and Meckling, 1976) relative to other stakeholders (Donaldson and Preston, 1995; Freeman, 1984). Economic views of strategy typically give primacy to the market logic and its variants, including shareholder value maximization. Yet, other institutional logics and their variants are also influential—though not always recognized—in organizations’ strategic choices. This is true even in the case of for-profit companies.

We argue that institutional pluralism and complexity generate opportunities for strategic choices leading to differences in value creation and in value capture (cf. Durand, 2012). In terms of strategic organizational choices, our argument relies broadly on established considerations of the organization’s definition of value creation and value capture (Brandenburger and Stuart, 1996; Lepak et al., 2007). In this article, however, we elaborate on two tangible strategic choices, representing specific ground-level mechanisms through which organizations create and capture value—namely, their business model for value creation and governance strategies for value capture. Accordingly, we raise the following research questions: First, how does institutional pluralism affect heterogeneity in strategic choices over business models and governance strategies? Second, how do organizational experiences of institutional complexity lead to different strategic responses relative to these two elements?

In the next two sections, we briefly discuss the conceptual distinctions between institutional pluralism and complexity, on the one hand, and their implications for strategy, on the other. The article then proceeds in two main parts, corresponding to strategic organizational choices under conditions of pluralism and strategic responses to experiences of complexity. We introduce

propositions for heterogeneity in organizations' business models and governance strategies—which we elaborate upon subsequently—before synthesizing our contributions and suggesting avenues for future research.

Institutional pluralism and complexity, organizational commitments to logics

In order to understand organizational experiences with and strategic choices under institutional pluralism and complexity, we first elaborate on the distinctions between these two theoretical constructs. According to Kraatz and Block (2008), institutional pluralism arises when organizations operating within several institutional spheres are simultaneously subject to “multiple regulatory regimes, embedded within multiple normative orders and/or constituted by more than one cultural logic” (p. 243). Given the coalitional nature of organizations and their multiple resource dependencies (Cyert and March, 1963; Pfeffer and Salancik, 1978; Selznick, 1957), institutional pluralism prevails to some degree or another in all fields. But, pluralism also varies by the degree of dominance and the multiplicity of logics available in a field at a particular point in time. For example, the field of investment banking, with the relatively unchallenged dominance of shareholder value maximization, may be considered less pluralistic than the commercial banking field, in which competing community and market logics may share influence. Where shared norms and values associated with logics and professional hierarchies are established, pluralism can persist in relative equilibrium despite “tensions and encroachments in jurisdictional domains” (Dunn and Jones, 2010: 127).

Institutional complexity, as defined by Greenwood et al. (2011), refers to the experience(s) of organizations confronted with “incompatible prescriptions from multiple institutional logics” (p. 318). Complexity is therefore latent—but not always manifest—in pluralistic environments, given the distinct prescriptions of diverse institutional logics (cf. Friedland and Alford, 1991). Where pluralism suggests multiplicity of institutional logics, complexity implies the *experience* of incompatibility and tensions between logics. Raynard and Greenwood (2014) provide a novel deconstruction of the experience of institutional complexity, claiming it is based on three factors beyond the mere presence of multiple, co-existing logics, namely, the degree of incompatibility between prescriptive demands from multiple logics, whether a field-level settlement or accepted prioritization of logics exists, and the degree of overlap across multiple logics' jurisdictional claims. Complexity is particularly acute where proponents of logics, who are not powerful enough to dominate the field but whose influence nevertheless constrains others' actions, engage in jurisdictional struggles (Pache and Santos, 2010).

The above considerations are compatible with how we view heterogeneity in degrees of institutional pluralism—and related experiences of complexity—across fields and organizations. In fields in which a single logic is dominant or in which institutional settlements lead to relatively stable accommodations between logics, institutional complexity is likely to be of a dormant or latent nature for most organizations. Yet, as Greenwood et al. (2010) point out, environmental changes and temporal discontinuities can make latent contradictions immediately more salient, as in tensions between community, family, and market logics in the context of organizational restructuring. Increases in field-level complexity can thus represent several realities. For instance, they may signal intensification of institutional pressures imposed on the field and organizations within it, increased public attention to the contradictions between different logics (Hoffman and Ocasio, 2001) and/or reconfiguration of the hierarchy and relational patterns within field-level “constellations of logics” (Goodrick and Reay, 2011).

Scholars have argued that complexity can be managed at the field level through such mechanisms as segmenting within a profession (Goodrick and Reay, 2011), geographical separation

(Greenwood et al., 2010; Lounsbury, 2007), segmenting by type of organizational actor (Reay and Hinings, 2009), or by industry sector (Marquis and Lounsbury, 2007; Thornton et al., 2005). The effects of institutional complexity on central questions in strategy have been, however, less explored. In this article, while we focus on pluralism and complexity for the field level, we are ultimately interested in the strategic choices of organizations, themselves subject to multiple logics. Specifically, we consider organizations' differentiated commitments to subsets of available field-level logics as an element of their strategic decision-making. That is, while organizations operating in pluralistic and complex environments are subject to a multitude of institutional demands, we argue that their strategic choices are evidenced by the particular combinations of logics to which they choose to make a commitment.

Our conceptualization of commitment builds on the work of Selznick (1948, 1957); we see commitments to particular subsets of logics as enduring (though not necessarily unchanging) aspects of an organization's strategy and purpose. For Selznick, the generation of organizational mission and purpose (and implicitly strategy) relies on many of the same elements we would associate with institutional logics: commitments both to values and to substantive choices that fix external assumptions about the nature, distinctive aims, and role of the organization within its environment. This perspective further helps bridge a gap between the concerns of institutional theory and those of strategic management. Commitments allow us to understand organizations' relationships to both their external stakeholders and their internal constituents. We can thus speak of organizations simultaneously striving for legitimacy (a key concern for institutional theory) and for integrity with respect to their distinctive mission, identity, and competence (of key interest to strategy scholars) (Kraatz, 2009; Selznick, 1957).

In considering organizational commitments to subsets of logics we rely, for illustrative purposes, on the typology of societal-level logics developed by Thornton et al. (2012). That is, we consider how organizations make differentiated commitments to subsets and combinations of market, corporate, professional, community, state, family, and religious logics as part of their strategic choices. For specific organizations within distinct fields, of course, particular variants and hybrids of the societal-level logics are likely to be observed. We expect empirical studies to uncover these field-specific elements.

Under conditions of pluralism, organizations operate within fields in which the relational patterns among multiple logics are fairly established (albeit subject to change). Potential contradictions between logics thus remain largely dormant. In this context, organizations make commitments to particular combinations of logics based on relatively stable (logic) hierarchies at the field level. On the other hand, during periods of institutional conflict and innovation (Zietsma and Lawrence, 2010), the established hierarchy of field-level logics is challenged, provoking some degree of instability. It is particularly during such transition periods that contradictions among logics are likely to be exposed and to contribute to experiences of complexity. Here, strategic organizational commitments to logics become subject to reinterpretation and (re)framing. In fact, we argue that under conditions of complexity, organizations adopt particular interpretations of the contradictions among logics to which they previously made a commitment. We consider each of these two conditions—and their implications for organizations' strategic choices and outcomes—after a brief overview of the relevant strategy literature.

Strategic considerations

Johnson and Scholes (2002) define strategy as “the direction and scope of an organisation over the long-term, which achieves advantage for the organisation through its configuration of resources within a challenging environment, to meet the needs of markets and to fulfill stakeholder expectations.”

Traditional economic perspectives focus on how the organization creates and captures value through its position to gain competitive advantage (Lepak et al., 2007; Porter, 1996), with limited attention to other stakeholder expectations. Yet, the conventional focus on value creation, capture, and competitive position in the definition of strategy presupposes a market logic, where the organization's objective is to maximize its market value as defined in financial terms (Brandenburger and Stuart, 1996; Jensen, 2010). A broader view of strategy as offered by Johnson and Scholes (2002) considers value maximization—however value is defined—as but part of an organization's strategic choices.

To some extent, stakeholder theory (Donaldson and Preston, 1995; Freeman, 1984; Freeman et al., 2010) has attempted to broaden the economic perspective by recognizing the multiple actors that affect and are affected by organizational decisions. As Freeman et al. (2010) recognize, however, initial affinities between strategic management scholarship and broader stakeholder perspectives (Learned et al., 1965; MacMillan 1978; Schendel and Hofer, 1979) gave way to divergence between the two disciplines, as stakeholder theory became associated with the more marginal domains of business ethics and corporate social responsibility.

Today, both in theory and in practice, most organizations recognize the need to strategically manage their relationships to—at the very least—customers and partners, in addition to shareholders. However, stakeholder theory's application in strategic management remains mostly limited to accounting for the potential influence of outside stakeholders on the organization's strategic goals. Those goals, in turn, continue to be defined in primarily economic terms of value creation and capture as tied to financial performance. Instead, we argue that a pluralistic approach to strategic management implies not only expanding definitions of the multiple entities that hold a "stake" in the organization but also of the multiple logic combinations that guide definitions of diverse forms of value. Taking seriously the role of institutional pluralism and complexity in the context of strategy thus encourages a more fundamental redefinition of the purpose of the organization and its definition of value.

Moreover, as Kraatz and Block (2008) note, stakeholder theory has less to say about questions of governance, including the political, ideological, and cultural conflict inherent in pluralistic environments. It tells us relatively little, for instance, about how organizations identify and prioritize claims from stakeholders (an element of value capture) with different degrees of power, legitimacy, and urgency (Mitchell et al., 1997). Our goal in this article is different, yet complementary, to stakeholder theory in that we explicitly consider the relevance of pluralistic and complex institutional arrangements on organizations' strategic choices.

We suggest that organizations' strategic considerations, long-term goals and objectives, and attention to stakeholder expectations are shaped by their commitments to a multiplicity of institutional logics beyond a market logic and concern for economic value maximization. Thus, we separate choices concerning the generation and use of resources to create value for the organization and its multiple stakeholders—which we define in terms of the organization's business model, from attention to how value is distributed and captured by multiple stakeholders—which we define in terms of the organization's governance strategy. Although we recognize that strategic management encompasses a number of additional dimensions, the two aspects considered here pertain to an organization's fundamental vision of the kind of value it seeks to create and capture, for/from which stakeholders, and by what means.

Business models focus on strategic choices related to the creation and delivery of value for the organization's customers, suppliers, employees, and other potential stakeholders (Amit and Zott, 2001; Johnson et al., 2008; Teece, 2010). They include a number of key strategic considerations pertaining to an organization's plans and processes for generating alternative revenue streams, identifying its target customers, defining its value proposition, managing its customer relationships and partnerships with external stakeholders, and articulating how its distinctive resources and capabilities will help generate key activities (Osterwalder and Pigneur, 2010).

Examples of business models include traditional manufacturing and retailing, “brick and click” (offering a combination of online and traditional store products and services), franchising, and “freemium” varieties (offering basic products or services for free while charging for advanced or upgraded features). While economic perspectives implicitly argue that business models are driven by market logics (Teece, 2010), combinations of other logics such as family, professional, and community may also shape the organization’s business model. For example, the advent of open-source software associated with a community logic (Von Hippel and Von Krogh, 2003) allowed for the coupling of free internet service provision with advertising-based revenue streams. For-profit, online businesses can thus be said to rely increasingly on combinations of market, corporate, community, and professional logics and values.

Governance strategies, on the other hand, focus on the distribution or capture of the value created via business models. While governance typically refers to the structures, processes, and actor relationships involved in the ownership and control of organizations, the concept of governance strategies used here is broader. Governance strategies identify the rights and responsibilities of both internal (e.g. board of directors, executives, managers, and employees) and external (e.g. shareholders, creditors, regulators, and customers) stakeholders that share in the monetary and non-monetary value (e.g. social, environmental, and relational) generated by the organization. An organization’s governance strategy thereby concerns negotiation of the goals and interests of multiple stakeholders.

Governance strategies include, yet go beyond, basic distinctions between public, for-profit, and not-for-profit organizations. Typically, the strategy literature has assumed a for-profit form of governance, ignoring that in many institutional fields for-profits compete with not-for-profits and hybrid organizations. For example, cooperatives are an alternative governance strategy based on a community logic, which does not typically prioritize market principles (Schneiberg, 2013; Schneiberg et al., 2008). Even for-profit firms are often driven by more than profitability objectives, including concern for the goals and interests of multiple interested parties (Cyert and March, 1963; Donaldson and Preston, 1995; Margolis and Walsh, 2003). Even though market logics may now be dominant in for-profit corporations (Davis, 2009; Thornton and Ocasio, 1999), for most of the 20th century in the United States, managerial capitalism prevailed in large corporations. Shareholder interests were often relegated to managerial concerns, and corporate logics featured more prominently than market logics in corporate governance (Berle and Means, 1932; Fligstein, 1990).

As we discuss in the following section, the degree of field-level pluralism shapes the opportunities available to organizations for committing to distinct subsets of logics. In the next two sections, we thus consider how organizational choices in business models and governance strategies are shaped by field-level pluralism and experiences of complexity.

Strategic choices under conditions of pluralism

Previously, we noted that the institutional and strategy literatures have rarely engaged directly. Recently, however, institutional scholars have examined the extent to which the presence of multiple field-level logics creates opportunities for the construction of unique organizational characteristics (Kraatz and Block, 2008; McPherson and Sauder, 2013). Among the “tangible” benefits resulting from institutional pluralism, Kraatz and Block (2008) highlight an organization’s ability to choose from a menu of available identities and commitments.

For instance, Quirke (2013) finds that high field-level heterogeneity and pluralism within private education allowed organizations to ascribe to “alternative sources of legitimacy.” The latter permitted some organizational autonomy in choices over formal structure (e.g. governance model and physical structure) and practices (e.g. adherence to professional schooling norms and curriculum). Similarly, Durand et al. (2013) have suggested that multiple institutional logics can serve as

strategic resources to overcome certain material constraints. In the French industrial design industry, opportunities for strategic action came partially from organizations' awareness of available repertoires of logics from which to draw. The essential argument is that pluralism opens up "alternative logics of action" (Seo and Creed, 2002: 321), multiple paths to legitimacy, and possibilities for bypassing isomorphic pressures along a continuum of "shades of rogueness" (Quirke, 2013).

Field-level pluralism, however, merely provides potentially auspicious conditions for differentiation and heterogeneity—both important considerations for strategy. Ultimately, it is the varying strategic commitments at the level of organizations that generate heterogeneity or isomorphism across members of the field.

Strategic outcomes in business models and governance strategies

As previously noted, some degree of pluralism exists in all fields, but levels vary across fields. For instance, professional services naturally inhabit fields where professional logics are likely to be prevalent (Jones et al., 2010) although organizations may differ in the particular configuration of professional, market, and corporate logics shaping their governance strategies. Furthermore, while some organizational forms such as private equity firms may have a dominant institutional logic (in their case, a market logic), more commonly a diversity of logics are in place, even among for-profit corporations (e.g. Greenwood et al., 2010). For-profit firms with significant family shareholdings, for example, must reconcile strategic decisions based on principles of shareholder value maximization with goals related to alternative conceptualizations of value, such as socioemotional wealth (Berrone et al., 2010; Miller et al., 2011).

To the extent that organizations exist within fields that vary in their degree of institutional pluralism, different combinations of institutional logics can shape business models across organizations. Distinct combinations of logics likely guide strategic choices related to organizations' customer segments, value propositions, distribution channels, and long-term partnerships. For example, religious logics and ethics play a central role in the business models of Islamic finance institutions (Henry and Wilson, 2004; Wilson, 1997), Catholic hospitals and universities (DeJordy et al., 2014; Walsh et al., 2003), and even major commercial retailers such as J.C. Penney (Thornton et al., 2012). The state similarly exerts significant influence over business models in traditionally heavily regulated industries (e.g. energy, banking, and pharmaceuticals) as well as in the case of state-controlled economies (Musacchio et al., 2015).

A similar point can be made regarding governance strategies. While market logics shape governance strategies in for-profit companies, the latter may commit to particular subsets combining variants of the market logic (e.g. more customer—rather than shareholder focused), with family, community, professional, state, and corporate logics. Thus, rather than being captured entirely by shareholders, value is shared—in different configurations—with consumers, suppliers, employees, and so on. We expect field-level heterogeneity in strategic outcomes given organizations' differentiated governance strategies, shaped by distinct commitments to subsets of logics.

The above examples illustrate an important point. To the extent that pluralistic environments make multiple—though not all—logics simultaneously available and legitimate to organizations, the latter enjoy some agency in committing to particular subsets and combinations of these logics. These, in turn, shape organizational business models and forms of governance across a variety of fields. Accordingly, we make the following propositions:

Proposition 1a: The greater the degree of field-level pluralism, the greater the heterogeneity in organizational commitments to a subset of logics informing their business models.

Proposition 1b: The greater the degree of field-level pluralism, the greater the heterogeneity in organizational commitments to a subset of logics informing their governance strategies.

It is worth noting, however, that high degrees of institutional pluralism and heterogeneity do not necessarily imply the absence of dominant logics within a field. Despite noted challenges to the traditional hegemony of for-profit competitive business models and governance strategies, the market logic continues to exert a powerful influence on mainstream firms and their strategic choices (Davis, 2009; Thornton and Ocasio, 1999).

Nevertheless, many domains formerly guided by a dominant logic are increasingly beholden to conditions of pluralism. For instance, despite the primary focus on financial value in most contemporary for-profit corporations, activists increasingly challenge firms to address alternative social and environmental concerns in their governance strategies (Campbell, 2007; De Bakker et al., 2013; Den Hond and De Bakker, 2007; McDonnell and King, 2013; Margolis and Walsh, 2003; Weber et al., 2008). In parallel, many non-profit and public organizations—formerly driven predominantly by community and state logics—are evermore confronted with market and corporate demands for accountability, performance measurement, and even the capture of financial returns (Eikenberry and Kluver, 2004; Evans et al., 2005; Margolis and Walsh, 2003).

Our key argument is that even in fields dominated by a single logic, such as the market or professional logic, organizations make commitments to particular subsets that may include subordinate and alternative logics. In this sense, logic dominance in a field need not suggest rampant isomorphism across organizations. The latter can nevertheless maintain heterogeneity via their distinct strategic commitments to logic combinations.

The implications of institutional pluralism for strategy go beyond the organizational level. The complexity of business models—with variations in customer and stakeholder relations, value propositions, activities, and resources shaping organizational commitments—also imply increasing fragmentation in competition within institutional fields. Heterogeneity in business models leads to heterogeneity in sources of value creation across organizations. Organizations are thus likely to face one set of competitors among certain dimensions of their business model and other organizational challengers based on alternative dimensions. Hybrid organizational forms such as social enterprises, public-private partnerships, and venture philanthropy organizations also bring to the fore the multiple types of competition (e.g. for customers/beneficiaries, financing, grants, employees, and partnerships) pursued simultaneously by diverse organizational types.

For instance, we noted that organizations operate in pluralistic institutional fields with potential variants and combinations of professional, market, corporate, community, state, religious, and even family societal logics shaping their operations and business models. Historically, the field of business education was less pluralistic, with professional logics mostly dominant (Khurana, 2010). As pluralism increases and business models incorporate commitments to a more heterogeneous subset of logics, business schools compete across various dimensions: core research and organizational activities, student placement, executive education, alumni relationships, corporate sponsorships, among others. Different configurations of business schools compete with one another in various national, international, and local segments. Yet, business schools also face competition for alumni support from non-educational establishments, including from private firms for executive training and for publishing activities. For-profit corporations in highly pluralistic fields also compete with a variety of organizations according to distinct dimensions of their business model, guided by commitments to a complex subset of logics. For example, consider that Google operates in the highly pluralistic field of information providers. It faces competition under a market logic in its advertising business but also with a variety of for-profits, non-profits, and even the federal

government in its complex attempt to attract users via free search engines, information provision, and organization services.

Proposition 2: In highly pluralistic fields, differentiated organizational commitments to subsets of logics lead to competition across heterogeneous organizational forms. This includes competition between and among for-profit, not-for-profit, hybrid, and public organizations that differ both in their business models and in their governance strategies.

The online classified ads platform, Craigslist, provides an illustrative example of both propositions regarding heterogeneity at the organizational and the field level. Although a privately controlled for-profit company, Craigslist's governance strategy can be considered aligned with a community logic, similar to the guiding principles of the online open-source and peer-to-peer movements (Von Hippel and Von Krogh, 2003). At the same time, it is also influenced by professional and, to a lesser extent, market logics. The organization's segmented business model relies on a paid job-posting service in select cities to finance the remaining (free) classified ads across an additional 700 sites in 70 countries. In this sense, it links community, market, and professional logics in a distinctive configuration informing its two components of strategy.

Whereas from a strategic, market-logic standpoint the company could be capturing substantially more financial value by going public or introducing general advertising,¹ its CEO responded to suggestions for fundraising through such means by commenting, "That...just doesn't happen to be our model. Ours is to try to be as philanthropic in our core business as we can be and leave all the money out there in the hands of users" (Hau, 2006). In this case, Craigslist's commitment to a particular subset of logics guides its unique strategic choices regarding business model and governance strategy (Propositions 1a and 1b). More broadly, the strategic commitments also inform Craigslist's non-market definition of value creation, capture, and competition. With the multiple logics underlying its distinctive business model, Craigslist competes with a wide variety of organizations along various dimensions (Proposition 2), from large corporations such as eBay (Classifieds) to more specialized global and local sites like LinkedIn, HotPads, airbnb, Erento, and even emerging mobile application startups like OfferUp and VarageSale.

The popular ride-sharing services, Uber and Lyft, provide another relevant example. Headquartered a few blocks apart in San Francisco, and with prices and service coverage no longer significant differentiators, the two companies have turned to other means of competing for customers and potential drivers. On its webpage, Uber attracts drivers with the promise of making good money, driving when they want to, and not having an office or boss. It recently began encouraging drivers to display an illuminated blue "U" logo on their windshield for easy identification. In response, the answer to "why Lyft?" includes the ability for drivers to keep their tips, to make more money, and to have access to the "best community." Lyft drivers are encouraged to wear purple mustaches. The quirky community and camaraderie—reinforced by expectations to sit up front and chat with the drivers—is considered a hallmark of Lyft relative to Uber (Rogowsky, 2014). Although the companies share many aspects of strategy, their differentiation relies—in part—on the distinct weight of professional and community logics within the subset to which they have committed. The subtle differences are even more intriguing given that drivers can, and do, simultaneously work for both services.

The Craigslist and Uber/Lyft examples illustrate two key points. First, commitments to a repertoire of logics under pluralistic conditions inform tangible outcomes such as organizational business models and governance strategies. The repertoire does not, however, naively imply infinite possibilities for strategic choice. As McPherson and Sauder (2013) note, "actors cannot effectively

draw on any logic in any situation” (p. 183) and are, instead, constrained by norms, context, interpersonal skills, and the nature of the logics themselves. They are also constrained by prior commitments that have formed the organization’s character and defined its purpose (Selznick, 1957). Concretely, decisions about business models are partly limited by existing governance strategies, constituting two analytically distinct, yet interrelated, forms of organizational strategy. Second, and perhaps more importantly, we view our propositions as pertaining to the broader set of organizational forms—not merely within hybrid, non-for-profit, or for-profit varieties.

Thus far, we have examined the relationship between institutional pluralism, strategic organizational commitments to subsets of logics, and their implications for outcomes at the level of organizations and fields. Consequently, we viewed strategic choices in the context of (temporarily) settled hierarchies and relational patterns among field-level logics. Temporary settlement, however, inevitably implies occasional discontinuity. In the following section, we address the implications of our theoretical model under conditions of such discontinuity, wherein previously stable field-level jurisdictional settlements are challenged and formerly latent contradictions between logics are exposed. In turn, such conditions require new organizational responses to the experience of complexity.

Strategic organizational responses to experiences of complexity

In our prior section, we evaluated strategic organizational choices under different degrees of institutional pluralism, independent of the *experience* of contradictions between multiple logics. Here, we theorize strategic choices when organizations experience complexity. Although a complete discussion of the transition between different degrees of institutional pluralism and experiences of complexity is not the focus of this article (for an overview, see Van Gestel and Hillebrand, 2011), we can imagine several possible triggers. For example, the introduction of new logics to a field, contestation from previously subordinate and/or dormant logics or actors, greater public attention to contradictions between multiple logics, and movement between low and high degrees of pluralism, all imply a reshuffling of the hierarchies and jurisdictional claims within a field. Whatever the source, we suggest that such discontinuities bring to the fore previously latent contradictions among field-level logics, triggering organizational experiences of institutional complexity (Greenwood et al., 2010; Zietsma and Lawrence, 2010). How this experienced complexity affects strategic organizational choices with respect to business models and governance strategies is the subject of this section.

Interpreting experiences of complexity—recognizing paradoxes

Thus far, we have argued for the distinction between states of institutional pluralism and complexity. An additional component—which we develop here—argues that the degree of perceived contradiction between multiple logics (and, by extension, the experience of complexity) is largely a matter of subjectivity and interpretation (Jay, 2013; Maitlis and Sonenshein, 2010). Institutional complexity is thus socially constructed by actors in organizations and institutional fields (Smets and Jarzabkowski, 2013), who may invoke incompatible logics to claim jurisdiction over specific situations and spaces (Thornton et al., 2012). That is, different organizational actors interpret, experience, and assess complexity differently. From a strategic management point of view, this constitutes an additional source of field-level heterogeneity.

The literature on paradoxes is particularly useful for explaining organizational heterogeneity in response to institutional complexity. Paradoxes represent persistent, simultaneously existing, contradictory, yet fundamentally interrelated elements (Smith and Lewis, 2011), which individual and

organizational actors either respond to or come to recognize and frame as such (Jarzabkowski et al., 2013; Quinn and Cameron, 1988; Smith and Lewis, 2011; Smith and Tushman, 2005).

Of particular use to our argument and to theoretical perspectives on institutional complexity is the paradox literature's emphasis on discontinuity as a trigger for exposing latent contradictions at various levels of analysis (Smith and Lewis, 2011). Examples of forms of discontinuity include the individual-level activation of cognitive managerial frames (Smith and Tushman, 2005), organizational restructuring mandates (Lüscher and Lewis, 2008), the creation of inter-firm boundaries (Raza-Ullah et al., 2014), and environmental-level factors such as plurality, change, and scarcity (Smith and Lewis, 2011).

Jay's (2013) study of the Cambridge Energy Alliance (CEA), a hybrid public-private organization created in response to institutional mandates for energy efficiency, skillfully integrates the institutional logics and paradox perspectives. Field-level changes uncovered contradictions within CEA's business model, governance strategy, and definition of success and failure based on the competing logics of government bureaucracies (state), business firms (market), and non-profit associations (community). The findings suggest that paradoxes surface when discontinuities at the field level produce ambiguous prescriptions for appropriate organizational courses of action, as well as for measures and interpretations of organizational failure and success. The latter describe experiences of complexity.

While in our theorization, field-level discontinuities can *expose* tensions among multiple, competing demands and prescriptions, they do not single-handedly determine whether organizations will interpret such tensions as being incompatible (suggesting the need for differentiation) or as paradoxical (suggesting the potential for integration). Rather, building on interpretive perspectives that highlight the importance of organizational sensemaking in experiences of institutional complexity and change (Jay, 2013; Maitlis and Sonenshein, 2010; Weick, 1988), we posit that organizations cope with complexity via different framing and reframing strategies (Bartunek, 1988).

The literature on institutional complexity does not, for its part, explicitly address the contested aspects of sensemaking or negotiation of the content of logics (Zilber, 2013). It does, however, suggest the possibility of "fragmentation, incoherence, conflict, goal-ambiguity, and organizational instability" under states of complexity (see Kraatz and Block, 2008; Stryker, 2000). Consequently, disruptions in organizational meanings and practices under complexity do not merely constitute apolitical features of the environment or change imperatives. Rather, they reflect political processes (Pache and Santos, 2010) and possible challenges to existing political truces within organizations (cf. Nelson and Winter, 1982). Experiences of complexity thus likely depend on how much the changes allow for reinterpretation of the interests of dominant organizational coalitions (Ocasio and Kim, 1999; Pache and Santos, 2010). As Greenwood et al. (2011) point out, "those with power...are likely to determine organizational responses to multiple institutional logics—and, in a way that reflects their interests" (p. 344).

Organizational interpretations of exposed contradictions between logics thus partly constitute a framing contest (Kaplan, 2008). Various factions within the organization contend with their own competing frame and definition of the experience of complexity. Indeed, a few scholars have begun to recognize that part of an organization's response strategy may involve reconfiguring existing logics in creative ways (Seo and Creed, 2002). (Re)framing strategies can vary based on the centrality and compatibility of logics to which organizations have made prior commitments (Besharov and Smith, 2014), on the degree of disruptiveness of field-level changes (Hoffman, 1999), and on an organization's relative position in the field (Greenwood et al., 2002). At the same time, we believe framing suggests a possible mechanism through which contradictions—typically perceived as organizational constraints—might represent opportunities for strategic organizational action and transformation, instead.

Implications for strategic action

A critical outcome of organizational framing processes, we argue, is the interpretation and framing of exposed contradictions between field-level logics as either incompatible or paradoxical. In the former case, contradictions between logics are seen as existing in direct and insurmountable conflict with one another, necessitating a choice between two or more alternatives. In the latter, contradictions are seen as offering some possibility for navigation or management (Abdallah et al., 2011; cf. Jarzabkowski et al., 2013; Smith and Tushman, 2005). We argue that the distinction is important in terms of its influence on organizational choices over business models and governance strategies in response to experiences of complexity. Previously, we considered strategic choices in the form of organizational commitments to subsets of logics under conditions of pluralism. Here, we consider how organizations frame experienced contradictions within the subset of logics to which they previously committed.

The paradox literature has generally considered two categories of responses. Defensive responses, initially seen as more typical, involve attempts to temporarily resolve or eliminate the inherent tensions in contradictions (Lewis, 2000). Active responses imply strategies for reducing the fear and anxiety associated with contradictions and suggest the possibility of enhanced organizational performance (Smith and Tushman, 2005). In our view, defensive responses are akin to organizational adoption of a frame that views contradictions as “incompatible,” whereas active responses suggest the strategic framing of exposed contradictions as “paradoxical.” The framing choice is thus an aspect of strategy with consequences for the relevant dimensions of organizational business models and governance strategies.

Moreover, while scholars agree that paradoxes cannot be permanently resolved (Abdallah et al., 2011; Jarzabkowski et al., 2013), they can be effectively navigated through various rhetorical (Jarzabkowski and Sillince, 2007; Smith and Tushman, 2005; Suddaby and Greenwood, 2005), architectural and contextual (Andriopoulos and Lewis, 2009), and temporal strategies (Sabelis, 1996). Thus, similar to the view of institutional logics as strategic resources (Durand et al., 2013), paradoxes can serve as resources deployed by change agents in order to “understand, account for and affect organizational change” (Whittle, 2006: 424). Nevertheless, it is important to recognize that agentic responses to paradoxes are constrained within situational factors and by no means guarantee successful outcomes (Jay, 2013). Combining scholarship on paradoxes, institutional pluralism, and complexity, we suggest two paths of interest to strategy scholars that organizations might take to manage experiences of complexity.

Framing contradictions as incompatible, responding through differentiation. Our first suggested outcome considers organizations’ adoption of a frame which views exposed contradictions as incompatible. Consistent with the distinction between a paradox and a dilemma, framing contradictions in terms of the incompatibility between various competing logics assumes an either/or tradeoff. Organizations thus perceive the need to make a choice between opposing demands (Cameron and Quinn, 1988; Clegg, 2002; Ybema, 1996).

We contend that in existing organizations, business models tend to be easier to transform than governance strategies, since the former are less anchored to stakeholder expectations and to potential political conflicts. Therefore, organizations that perceive the need to respond to complexity are likely to modify their business model so as to align with the newly emerging hierarchical configuration of field-level logics. That is, they are likely to favor prescriptions from more powerful and dominant logics, while responding symbolically, more perfunctorily, or through differentiation to less dominant ones (cf. Greenwood et al., 2011).

Governance strategies, on the other hand, can be particularly difficult to change. Given that choices over governance strategies ultimately concern the distribution of value across organizations' various stakeholders, it is reasonable to assume that certain coalitions of stakeholders exert more power and influence on strategic organizational choices than others (Greenwood et al., 2011; Van Gestel and Hillebrand, 2011). Changes may further be complicated by the perception that attempts to integrate new logics into governance strategies pose threats to core elements of organizational culture, values, or identity and to the political truces that sustain organizational routines (Nelson and Winter, 1982). Organizational responses thus involve the separation of core strategic and material actions from less central commitments. Accordingly, we posit that organizations are likely to keep their governance strategies intact according to the dominant coalition within the subset of logics to which they initially made a commitment.

A differentiated organizational outcome thus results from changes to the organization's business model combined with preservation of its existing governance strategy. The reverse response—preserving existing commitments to the organization's business model while modifying its governance strategy—appears less likely for the reasons already mentioned.

Indeed, Gilbert's (2005) study of differentiated organizational responses to changes in the news industry lends support to this view. With the introduction of digital publishing, many actors feared that industry-level changes would force them to "cannibalize" on their traditional models of production, distribution, and revenue generation. Online publishing challenged the very notion of who controls content in the media (e.g. professionals, corporate managers, or online communities). This applied to control both at the industry level and within individual media organizations, where corporate newspaper managers appropriated strategic decision-making control from operating divisions. By compartmentalizing perceived threat in the parent company (traditional newspapers) from opportunity in a new domain (online news content), successful industry players were able to distinguish digital offerings from traditional paper content through a differentiation strategy. In our vocabulary, differentiation occurred at the level of organizational business models and governance strategies.

For instance, while the regional newspaper *The Boston Globe* retained its basic governance structure, it seized online opportunities to transform and diversify its business model, namely, it complemented traditional subscription with premium services—now supported by online advertising—across two distinct websites and target audiences. In line with the above considerations, we make the following proposition regarding strategic organizational responses to experiences of complexity:

Proposition 3: Organizations that frame exposed contradictions between logics as incompatible are more likely to adopt a differentiated strategic response: modifying their business model while preserving their governance strategy.

Framing contradictions as paradoxical, responding through integration. The alternative path in our model considers organizations that, when experiencing complexity, frame exposed contradictions as paradoxical. Adoption of a paradoxical frame implies organizations' recognition of the need to explicitly confront—rather than compartmentalize or differentiate—contradictory institutional demands. By its very nature, paradoxical framing further presumes that actors can (but do not always) adopt a both/and perspective, which attempts to address contradictions simultaneously, rather than prioritizing one set of demands over another. In strategy terms, we argue that organizations are thus likely to recognize the need to grapple with modifications to both their business model and governance strategy.

At its best, recognition of paradoxes implies acceptance or transcendence—as opposed to resistance—to persistent and irresolvable contradictions (Smith and Lewis, 2011). Differences in actual outcomes notwithstanding, “a paradox lens stresses ideal, and paradoxical, outcomes of peak performance and sustainability” by enabling virtuous cycles of learning, discovery, and creativity (Lewis and Smith, 2014: 10). Kraatz and Block (2008) similarly suggest that organizations subject to multiple competing demands can strategically reprioritize their identities, arbitrate between the claims of their various constituents, and “harness and channel the [latter’s] divergent energies” (p. 255). Accordingly, organizations that frame exposed field-level contradictions as paradoxical are more likely to recognize the potential benefits of making changes to their overall strategy, including elements of their business model and governance.

The previously discussed findings from Jay (2013) remain applicable in this context. Although the public–private partnership, CEA, already began as a hybrid organizational form, it further responded to institutional disruptions by embracing a paradoxical lens² and transforming both its business model and governance norms. The transformation allowed CEA to simultaneously integrate competing prescriptions from market, community, and state logics. Importantly, Jay (2013) notes that an initial solution based on a differentiation strategy (relegating the public service logic to CEA’s residential team, with the commercial and institutional team separately focusing on client services) was gradually phased out once a more integrative, paradoxical lens was applied.

Another illustrative example is the proliferation of legal organizational forms seeking to strategically combine commercial and social goals within a single regulatory framework. In the United States and United Kingdom, benefit corporations, flexible purpose corporations, social purpose corporations, low-profit limited liability companies, and Community Interest Companies evolved primarily as a way to integrate social and environmental demands into the traditional profit-seeking corporate model based on shareholder value. In the continental European context, most hybrid legal forms have evolved, instead, from the non-profit and cooperative tradition. These include *cooperative sociali di tipo A/B* (Italy), *sociétés coopératives d’intérêt collectif* (France), and Work Integration Social Enterprises (WISE) across Europe. The push to transform the regulatory context arguably arose from a realization that innovative social businesses were nonetheless constrained to one of two established governance structures: for-profit or not-for-profit. This either/or division ultimately proved counterproductive to the blended integrative value purpose of social businesses. Applying a paradoxical lens, the introduction of new legal forms can be seen as an integrative solution to what was previously considered an incompatible contradiction between market and community logics, shareholder and stakeholder definitions of value, and commercial and social governance strategies. These examples lead us to the following proposition.

Proposition 4: Organizations that frame exposed contradictions between logics as paradoxical are more likely to adopt an integrative strategic response: simultaneously modifying their business model and governance strategy.

Propositions 3 and 4 assume that organizations perceive the need to make changes in response to experiences of complexity. It is, of course, possible for certain organizations (for instance, powerful field-level actors) to ignore exposed contradictions altogether. However, most organizations are unlikely to disregard field-level disruptions and opt for denial (Smets and Jarzabkowski, 2013). In line with our consideration of organizational commitments, Selznick (1957) also points out that organizations must balance the need to maintain integrity (implying only adopting

changes consistent with their organizational commitments) with the need for responsiveness. In this spirit, we have focused on two strategic paths most organizations are likely to take to achieve this balance.

Additionally, despite our conceptual distinction between frames that view exposed contradictions as incompatible or paradoxical, the two remain ideal-types which are ultimately interwoven, not diametrically opposed (Smith, 2014). The management of strategic paradoxes requires a longitudinal examination of both short-term and long-term organizational decision patterns over time rather than consideration of discrete organizational responses. Sustainable management of paradoxes might thus be best achieved through a dynamic equilibrium model (Smith and Lewis, 2011), alternating between differentiation and integration strategies in which the relationship between contradictory tensions must continuously be re-evaluated. In reality, we recognize that organizational responses to complexity are apt to evolve over time (Greenwood et al., 2011), and that organizations in our typology are not condemned to any single strategic path or outcome. Instead, they may move between ideal-type responses based on the possibilities afforded by periodically re-evaluated strategic considerations.

Discussion and conclusion

We have theorized that under conditions of institutional pluralism, greater pluralism leads to increased heterogeneity in business models and governance strategies, guided by organizations' diverse strategic commitments to subsets of field-level logics. Under conditions marked by jurisdictional struggles and discontinuities, when latent contradictions between logics are brought to the fore, organizations seek to interpret such contradictions as incompatible or paradoxical. Adopted frames inform strategic responses to complexity in the form of differentiation and integration with respect to organizations' business models and governance strategies.

In making our argument, we have primarily drawn on examples and assumptions based on organizations operating within a US context. However, we recognize that there are likely cross-cultural variations in strategic choices over business models and governance strategies, as well as in definitions and prioritization of different forms of value. A growing body of work suggests that the very interpretation of such concepts as strategy and value differs across geographic and cultural contexts. For instance, scholars have pointed to the predominating emphasis on shareholder value in US firms compared to a broader consideration of stakeholder interests—even while using similar vocabulary—in corporatist Western Europe (Meyer and Höllerer, 2010). The notion of paradox itself can have distinct implications in Western versus Eastern (e.g. Chinese) cultural traditions based on relatively binary and linear, versus more integrative and cyclical cognitive and interpretive tendencies (Chen, 2008). Given such variability, future work could fruitfully examine how (and when) the relationship between environmental pluralism, complexity, and organizations' strategic choices is mediated by cultural specificities.

As for strategic considerations, much contemporary theorizing in strategy implicitly assumes a unitary market logic, with an emphasis on the monetization of value and the capture of financial value by the firm through its competitive advantage. We explicitly redress this imbalance by contributing to the mostly disparate literatures on strategic management and institutional logics (Durand, 2012) in multiple interrelated ways. First, prior theory has identified strategic organizational choices as responses to the state of institutional pluralism and complexity (Greenwood et al., 2011; Kraatz and Block, 2008). We advance existing scholarship by highlighting that institutional pluralism and complexity vary across organizational fields, leading to heterogeneity in both business models and governance strategies. Moreover, we extend recent work acknowledging that interpretation of the experience of complexity shapes heterogeneity in organizational responses.

We therefore build on the insight from the strategy perspective—that heterogeneity is a source of performance differentials—by identifying how variations in organizations' commitments to particular combinations of logics can shape value creation and distribution among multiple stakeholders, ultimately affecting definitions and measures of organizational performance.

Our theory suggests that examining variation in organizational commitments to logics is an important area for research. This is true both with respect to the determinants and consequences of variations for different forms of value creation as well as for the emphasis on financial value capture relative to other strategic goals. Prior research has examined the relative emphasis on market versus corporate goals (Haleblian and Finkelstein, 1993), market versus family goals (McCann et al., 2001), or on market versus community goals, particularly as related to corporate social responsibility (Orlitzky et al., 2003), on firms' financial performance. But, the effects of the variety of logic commitments on financial versus other forms of value and performance has not been, to our knowledge, the subject of extensive research.

Second, we contribute by theorizing how alternatives to the market logic, particularly variants of community and professional logics, increasingly shape business models both with respect to intra-organizational and inter-organizational activities. Arms-length market transactions are increasingly complemented by cooperative strategies associated with social networks and community logics (cf. Szyliowicz and Galvin, 2010). Professional fields play a growing role in developing changes to organizational business models (cf. Suddaby and Viale, 2011). State logics have also indirectly contributed to business model innovations, as major technological developments shaping contemporary industries have been funded, commercialized, and licensed by federal governments.

Third, our theory contributes to strategy research through a focus on institutional pluralism in governance strategies, namely, we challenge the economic view of financial value capture as a normative imperative and view it instead as a strategic choice among multiple alternatives shaped by institutional pluralism. This shift in perspective on the objectives of strategy applies across organizational forms, whether for-profit, not-for-profit, hybrid or other emerging varieties. From our institutional pluralism perspective, hybridity is the norm, not the exception. Organizations must continuously balance the distinct objectives of various institutional logics to which they make strategic commitments, thereby shaping the distribution of value among multiple stakeholders.

A fourth contribution of our article is in examining how the experience of institutional complexity is conditioned by both situational and interpretive factors. We therefore build on recent work which understands complexity as more than the mere presence of multiple logics, highlighting the importance of configurations, patterns, and the degree of (in)compatibility between multiple co-existing logics. Going a step further, we suggest that logic (in)compatibility is itself a distinct dimension subject to interpretation and (re)framing, such that inherent contradictions between logics can be seen in incompatible or paradoxical terms. Nearly a decade ago, Lüscher et al. (2006) noted the rising awareness among management scholars of complexity, equivocality, ambiguity, and paradox. Yet, the majority of research on institutional complexity still views contradictions as sources of institutional "demands" and "prescriptions." This framing has been challenged by past research taking a paradoxical perspective, in which contradictions can be transcended and may serve as sources of productive tension (Murray, 2010). While we build on theory and research on paradoxes, we emphasize the strategic considerations—with respect to differentiation in organizational business models and governance strategies—resulting from the adoption of both/and (integrative) rather than either/or (differentiated) perspectives.

Examining the interplay between field-level pluralism, experiences of complexity, organizational-level framing of the latter and strategic responses, highlights the importance of cross-level examination of multiple institutional logics, their ground-level enactment and experiences (Thornton et al., 2012). The experience of institutional complexity is a social construction. It is

shaped by cognitive and emotional factors at the individual level, by the negotiated order at the situational level, and by historical patterns at the organizational and field levels. Cross-level examination of the framing of institutional complexity and consideration for resulting strategic choices and organizational outcomes is an inherently interdisciplinary research endeavor.

Ultimately, engagement with institutional pluralism and complexity as subjects of concern for strategic management directly implies that proponents of market logic dominance need not capture the field of strategy. Early developers of the field (Andrews, 1971; Chandler, 1962; Selznick, 1957) were not economists, and their ideas on strategy were more congruent with corporate than with market logics, perhaps reflective of the dominance of managerial capitalism in their era. Accompanying the rise of market logics in US corporate sectors post-1980 (Fligstein, 1990), strategic management has increasingly defined the subject and objective of value in terms such as competitive advantage and value capture (Jensen, 2010; Porter, 1980, 1985). This suggests that an institutional pluralism and complexity perspective on strategy requires a redefinition of the very subject of inquiry of strategic management. Certain terms such as value creation can remain a dominant part of the vocabulary, albeit with a change in emphasis. Others, such as value capture, may require redefining, as we have done in this article. For us, the latter is not exclusively about capturing value for shareholders, but about how institutional logics shape value capture by a subset of stakeholders. Our theoretical framework aims to aid this redefinition.

But of course, much further research and theoretical work are required. This includes bringing back organizational performance and effectiveness as core concerns for organizational theorists and institutional scholars interested in contributing to the field of strategic management. It also warrants further research examining the role of multiple organizational logics in diverse organizations. This holds not only in not-for-profits and hybrids but also in for-profit organizations, where market and corporate logics have traditionally enjoyed a taken-for-granted, dominant status.

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Notes

1. The company was “conservatively” estimated to have a business worth of \$5 billion dollars in 2008 (Blodget, 2008).
2. Note that in the case of CEA, recognition of paradox was facilitated by an outsider (the author, Jay) in the course of conducting engaged research on the organization.

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